

CITIZENS FIRST CONGRESS

June 2026 Convention — Little Rock, Arkansas

RESOLUTION ON PENSION INVESTMENT TRANSPARENCY

Submitted by: Little Rock Peace for Palestine / Arkansans for Pension Integrity

Referred to: Civil Rights and Election Reform Caucus

Contact: Joshua Dunlap, info@arpensions.org

WHEREAS, the Arkansas General Assembly enacted the State Government Employee Retirement Protection Act (Act 498 of 2023, codified at A.C.A. §§ 24-2-801 through 24-2-806), which requires that pension benefit plan fiduciaries discharge their duties "solely in the pecuniary interest of the participants and beneficiaries" (§ 24-2-803(a)(1)) and that a fiduciary's evaluation of an investment "shall take into account only pecuniary factors" (§ 24-2-804(a)), where "pecuniary factor" is defined as "a factor that has a material effect on the financial risk or financial return, or both, of an investment based on appropriate investment horizons consistent with the pension benefit plan's investment objectives and the funding policy" (§ 24-2-802(4)(A)); and

WHEREAS, the prudent investor rule governing Arkansas public retirement systems (A.C.A. §§ 24-2-610 through 24-2-619) requires that trustees "invest and manage trust assets as a prudent investor would, by considering the purposes, terms, distribution requirements, and other circumstances of the trust" and "exercise reasonable care, skill, and caution" (§ 24-2-611(a)), that trustees "shall make a reasonable effort to verify facts relevant to the investment and management of trust assets" (§ 24-2-611(d)), and that trustees "shall invest and manage the trust assets solely in the interest of the members and benefit recipients of the trust" (§ 24-2-614); and

WHEREAS, Act 498 further requires fiduciaries to act "with the care, skill, prudence, and diligence under the prevailing circumstances that a prudent person acting in a similar capacity and familiar with such matters would use in the conduct of an enterprise of a similar character and with similar aims" (§ 24-2-803(a)(2)) and to diversify investments "so as to minimize the risk of large losses" (§ 24-2-803(a)(3)); and

WHEREAS, Act 498 defines "pension benefit plan" to include any plan, fund, or program established or maintained by the State of Arkansas or any of its subdivisions, agencies, or instrumentalities that provides retirement income or benefits to employees or former employees (§ 24-2-802(3)), a definition that reaches by category the Arkansas Teacher Retirement System (ATRS), the Arkansas Public Employees' Retirement System (APERS), the Arkansas State Highway Employees' Retirement System (ASHERS), the Arkansas State Police Retirement System (ASPRS), the Arkansas Judicial Retirement System (AJRS), and the Arkansas Local Police and Fire Retirement System (LOPFI); and

WHEREAS, the Joint Interim Committee on Public Retirement and Social Security Programs (A.C.A. § 10-3-703) is charged with making "continuing review of the statistics, actuarial solvency, adequacy of benefits, and all other aspects of the publicly supported retirement systems of this state" and with studying and reviewing "all proposals for changes or amendments to any of the existing public retirement laws" (§ 10-3-703(c)), making it the appropriate venue for pension governance legislation; and

WHEREAS, existing Arkansas law establishes a rigorous standard for what factors pension fiduciaries may consider, but does not establish specific procedural requirements for how fiduciaries must

document their compliance with that standard before committing pension funds to investments that lack secondary markets, independent credit ratings from the fund's own consultants, or comparable liquidity to the fund's other fixed-income holdings; and

WHEREAS, non-tradable foreign sovereign debt is a class of investment that bypasses the price discovery and credit signaling that liquid markets perform automatically, because without a secondary market there is no continuous repricing of the obligor's credit and no market check on the underwriter's analysis, and for that class of instrument, independent credit analysis before purchase is the substitute for the market scrutiny that a secondary market would otherwise impose; and

WHEREAS, the prudent investor rule provides that "single agent or exclusive agency delegations by the trustees shall be discouraged" and that such arrangements require the trustee to have "exercised extraordinary care and caution in selecting the exclusive agent" (§ 24-2-618(e)), a standard that has particular relevance when a pension system acquires a fixed-income instrument exclusively through a single broker-dealer rather than through competitive market channels; and

WHEREAS, the proposed Pension Investment Transparency Act ("PITA") would require, for any acquisition of non-tradable sovereign debt by an Arkansas pension benefit plan: (1) an independent credit analysis by the fund's own investment consultant or staff, documented in writing before the purchase; (2) a written comparison of the proposed investment's risk, return, and liquidity against comparable fixed-income alternatives available to the fund; (3) disclosure of the investment's liquidity characteristics, including the absence of any secondary market, in the board materials provided to trustees before a vote; (4) a written determination by the fund's fiduciary that the investment satisfies the pecuniary-factors standard of § 24-2-804(a); and (5) public posting of the analysis and determination on the pension system's website within thirty days of the investment;

NOW, THEREFORE, BE IT

RESOLVED, that the Citizens First Congress calls upon the Arkansas General Assembly to enact the Pension Investment Transparency Act during the 2027 Regular Session, establishing issuer-neutral procedural requirements to ensure that pension benefit plan fiduciaries document their compliance with the pecuniary-factors standard of A.C.A. § 24-2-804(a) and the prudent investor rule of A.C.A. §§ 24-2-610 through 24-2-619 before committing beneficiary funds to non-tradable sovereign debt; and

RESOLVED, that the Citizens First Congress calls upon the Joint Interim Committee on Public Retirement and Social Security Programs to exercise its statutory authority under A.C.A. § 10-3-703(c) to study whether current pension investment practices comply with the standards established by Act 498 of 2023, including whether documented, independent credit analyses were prepared before recent acquisitions of non-tradable sovereign debt by Arkansas pension benefit plans; and

RESOLVED, that the Citizens First Congress urges all Arkansas pension benefit plan fiduciaries to adopt, as a matter of board policy pending legislative action, the practice of obtaining and publicly disclosing independent credit analyses before authorizing any new acquisition of non-tradable sovereign debt, consistent with the fiduciary obligations established by Act 498 of 2023 and the prudent investor rule.

Statutory references: All quoted language is verbatim from enrolled acts of the Arkansas General Assembly. Act 498 of 2023 (HB1253, 94th GA); Act 151 of 2001 (SB99, 83rd GA, §§ 24-2-610–619); A.C.A. § 10-3-703 (Acts 1975, No. 289, as amended).

Campaign: Arkansans for Pension Integrity (API) — arpensions.org — info@arpensions.org

Sponsoring organization: Little Rock Peace for Palestine (LRPP), a member organization of Citizens First Congress.